Executive Summary

Sugar Summary Table

Particulars	26 Oct 2026	Change
Kolhapur (INR/Tonnes)		
S Grade	47000	-2000
Sugar International		
Sugar #11(ICE) (in cts/lb)	20.3	-0.6
London Sugar (LCE)(In USD/MT)	535.2	-19.4
Currency Reference (Pair with USD)		
USD-INR Pair	94.95	0.18
USD-BRL Pair	5.05	0.02

Crude Oil Prices

Prices	22-Oct-26	15-Oct-26	Change
Brent Crude (USD/bbl)	114.3	105.22	9.08
Crude Oil (Bbl)	9484	9285	199
Crude Oil (Tokyo) (JPY/kl)	109800	108500	1300
WTI Crude Oil (Nymex) (USD/bbl)	100.72	97.12	3.6

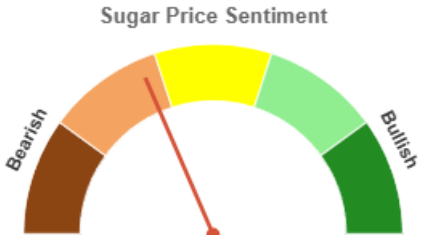
Domestic News

- **Sugar Industry Seeks Revision of Ethanol Procurement Policy for ESY 2026–27:** India's sugar industry has raised concerns that restrictions on ethanol procurement from sugarcane juice, sugar syrup and B-heavy molasses could weaken sugar mills' earnings and affect loan repayments. The industry has urged the government to withdraw the restrictions and increase the price of ethanol produced from C-heavy molasses from ₹57.97 to ₹70 per litre. With investments of around ₹1 lakh crore in ethanol production capacity nationwide, the policy change could affect distillery profitability and sugarcane payment capacity.
- **Ethanol Procurement Restrictions Put Sugar Industry Investments at Risk:** Maharashtra's sugar mills and ethanol producers have warned that restrictions on ethanol made from sugarcane juice, syrup and B-heavy molasses could affect investments and leave distilleries underutilised. The industry says producing ethanol only from C-heavy molasses is not commercially viable at current prices. Producers are seeking government support to convert existing distilleries to use maize and other grains, allowing year-round production and reducing dependence on sugarcane-based feedstocks.
- **India Extends Duty-Free Raw Sugar Import Deadline:** The Indian government has extended the deadline for duty-free imports of raw sugar under the Tariff Rate Quota (TRQ) scheme by two months, until December 31, 2026. The permitted import quantity remains unchanged, giving importers additional time to bring sugar into the country. The move extends the import window but does not increase the approved quantity.
- **Sugar Industry Urged to Explore High-Value Products from Sugarcane Waste:** Sugar mills are being encouraged to diversify beyond sugar and ethanol to improve long-term profitability. Fluctuations in sugarcane availability and restrictions on certain feedstocks for ethanol production could affect distillery earnings. The industry can explore alternative products such as compressed biogas (CBG), bioplastics, sustainable aviation fuel (SAF) and isobutanol. Better utilisation of sugarcane and agricultural waste could help mills generate additional income, improve resource efficiency and reduce dependence on traditional products.
- **Maharashtra Sugarcane Crushing and Sugar Output Expected to Decline in 2026-27:** Maharashtra's sugarcane crushing is expected to decline to around 9,000 thousand tonnes in the 2026-27 season from 10,450 thousand tonnes last season due to irregular rainfall and drought-like conditions. Sugar production is projected to fall to 890–900 thousand tonnes from 990 thousand tonnes, while the crushing season may shorten to 90 days from 104 days. Ethanol production is also expected to decline by around 30%, as lower sugarcane availability and restrictions on certain sugar-based feedstocks affect distillery operations. These challenges could reduce mill capacity utilisation and returns on investments in ethanol production.
- **Indian Sugar Stocks Fall on Ethanol Diversion Ban:** Indian sugar stocks declined by 2% to 6% after the government directed oil marketing companies to stop sugar diversion for ethanol production in the 2026-27 supply year. The decision excludes ethanol made from sugarcane juice, sugar syrup and B-heavy molasses from the latest tender, removing an important revenue source for sugar mills and potentially affecting their operating margins and ethanol investments. The move aims to increase domestic sugar availability and control prices, which have risen by more than 10% amid festive demand and concerns over weak rainfall in key producing states.
- **India Sugar Output Faces Pressure Amid Ethanol Policy Shift:** India's sugar production is estimated to decline to 27–29.5 million tonnes this season, compared with around 31 million tonnes last year, amid concerns over lower sugarcane yields in Maharashtra and Karnataka. Meanwhile, oil marketing companies have invited bids for 1,100 crore litres of ethanol for the 2026-27 season, excluding ethanol produced from sugarcane juice, sugar syrup and B-heavy molasses. The tender instead focuses on eligible feedstocks such as maize, C-heavy molasses and rice. With domestic sugar consumption projected at 28.5–29 million tonnes, the expected production decline could tighten supplies and support prices. The policy shift may also encourage greater reliance on grain-based feedstocks, including maize, while sugar mills reassess the allocation of sugarcane between sugar and ethanol production.

International News

- **Global Sugar Prices Decline Amid Supply Expectations and Weather Risks:** ICE No. 11 sugar futures for March 2027 settled at 20.13 US cents per pound on 22 October 2026, down 0.32 US cents from the previous session, as expectations of comfortable near-term supplies weighed on prices. However, irregular rainfall in Brazil's Centre-South region has disrupted sugarcane crushing activity, creating uncertainty over production and export availability. Market direction will depend on Brazil's crushing pace, export flows and weather conditions across major sugar-producing regions.
- **Fiji's 2027 Sugarcane Harvest Faces Risks from Prolonged Dry Spell:** A prolonged dry spell in Fiji is raising concerns over the country's 2027 sugarcane harvest, as declining water availability threatens land preparation, replanting and crop development. Farmers have warned that drying wells and rivers could worsen drought impacts and reduce their ability to sustain crop production. The situation adds to existing challenges in Fiji's sugar industry, where production has been declining despite government support. Continued dry conditions could affect sugarcane yields and tighten sugar supplies in the upcoming season.
- **Bangladesh Provides Financial Support to Boost Sugarcane Production:** Bangladesh's financial assistance to sugarcane farmers in the Rajshahi region aims to encourage cultivation and strengthen domestic sugarcane supply. The support could help farmers maintain or expand planted areas, potentially improving raw material availability for sugar mills. Higher sugarcane production may support local sugar manufacturing and reduce supply pressure, depending on how farmers respond and how much output increases.
- **Global Sugar Deficit Expected to Widen to 6.28 Million Tonnes:** The global sugar market deficit is projected to widen to 6.28 million tonnes, around 3 million tonnes higher than previously estimated, due to declining production prospects in Brazil and the European Union. Excessive rainfall in Brazil and hot, dry weather in Europe have affected crop prospects. Brazil's Centre-South sugar production forecast has been cut by 600 thousand tonnes to 37.3 million tonnes, while the EU estimate has been reduced to 12.44 million tonnes. Concerns over tightening global supplies have also pushed raw sugar prices to a 19-month high of 21.29 cents per pound.
- **USDA Cuts Philippines Sugar Production Forecast:** The USDA has lowered its forecast for the Philippines' raw sugar production in MY 2026-27 to 1.7 million metric tonnes (MMT), down 8% from 1.85 MMT estimated for MY 2025-26. The decline is attributed to the spread of red-striped soft scale insect (RSSI), the threat of El Niño and rising fertiliser, diesel and pest-control costs. As of August 2026, the pest had affected 139,364 hectares, or 33% of the country's total sugarcane area. Dry weather and delayed rainfall have also reduced cane growth and yields, particularly in the Visayas region, raising concerns over the country's overall sugar production.
- **Rising Input Costs Squeeze US Sugarcane Farmers:** Sugarcane farmers in Louisiana, United States, are facing shrinking profit margins due to rising fuel and fertiliser costs, pest infestations and drought, despite favourable crop conditions. Direct sugarcane production costs increased from $543 per acre in January to $643 in August. Diesel prices have nearly doubled, while fertiliser costs have risen 20%, increasing the financial burden on growers. Pest-control and irrigation expenses are adding further pressure, forcing farmers to cut labour costs, delay equipment purchases and reconsider replanting plans.

Price Influencing Factor



S.No.	Factors	Current Status	Expected Impact on Prices
1	Sowing Acreage('000.ha)	Low (5847 Vs 5887)(Kharif-26 Vs Kharif-25)	Bullish
2	Crop Condition(Kharif)	Below average(Affected by low rainfall in key sugarcane producing region)	Bullish
3	Production	Low(due to low rainfall in key sugarcane producing region)	Bullish
4	Current Price Trend	Downward (Kolhapur S-30)	Bearish
5	Retail Prices	Downward(W-o-W)	Bearish
6	Wholesale Prices	Downward(W-o-W)	Bearish
7	WPI	Low (130.3 Vs 134.9)(Sep 2026 Vs Aug 2026)	Bearish
8	Inflation	Low (12.7% Vs 16.3%)(Sep 2026 Vs Aug 2026)	Bearish
9	Government Sugar Sale Quota	Increased(3000 vs 2649)(Oct-26 Vs Sep-26)	Bearish
10	Crude Oil Prices(Bbl)	Incresead(W-o-W)	Bullish
11	Rainfall Outlook	Normal to Below Normal	Bearish
12	Temperature Outlook	Above-normal temperatures are expected .	Bullish
13	Rainfall Status	Weak Monsoon	Bearish
14	Currency (INR vs USD)	Slight Weak (95)(W-o-W)	Bearish
15	Price Seasonality(M-30)	Decreased	Bearish
16	Price Seasonality(S-30)	Decreased	Bearish
17	Geopolitical Condition	Uncertain(US-Iran conflict concerns)	Bullish
18	Global Weather Outlook	Moderate-to-strong El Nino expected to persist through late 2026.	Bullish
19	International Price Trend (ICE)	Decreased(Mar-26)	Bearish

Market Outlook

Attribute	Value
Close	47000
Weekly Change (%)	-4
Trend Reversal Point	47667
Resistance 1	48333
Resistance 2	49667
Support 1	46333
Support 2	45667

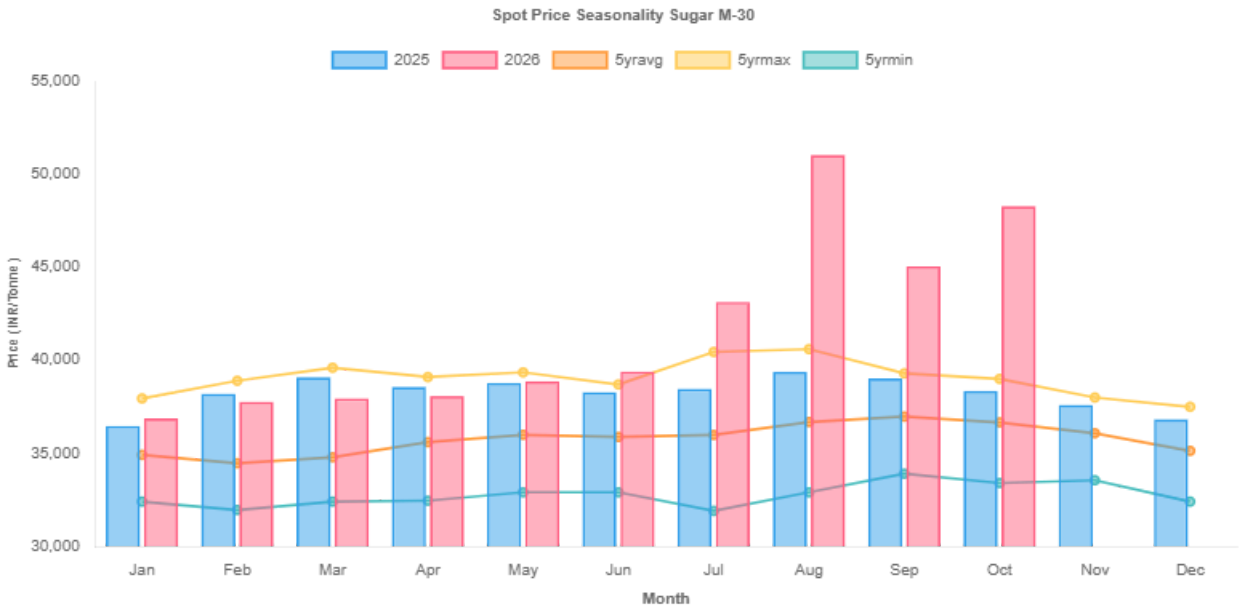
Government Monthly Sugar Sale Quota

India has set the sugar quota for October 2026 at 3,000 TMT, which is 350 TMT higher than the 2,650 TMT quota in September 2026.

State	October 2026 (Thousand Tonnes)	September2026 (Thousand Tonnes)	Difference (Thousand Tonnes)
Maharashtra	915	835	80
Uttar Pradesh	868	833	35
Karnataka	453	380	73
Tamil Nadu	131	103	28
Gujarat	85	80	5
Bihar	65	54	11
Punjab	58	49	9
Haryana	44	41	3
Madhya Pradesh	34	32	2
Uttarakhand	29	24	5
Andhra Pradesh	7	7	0
Telangana	5	6	-1
Orissa	4	3	1
Rajasthan	1	1	0
Chhattisgarh	1	1	0

Price Seasonality (Sugar M-30)

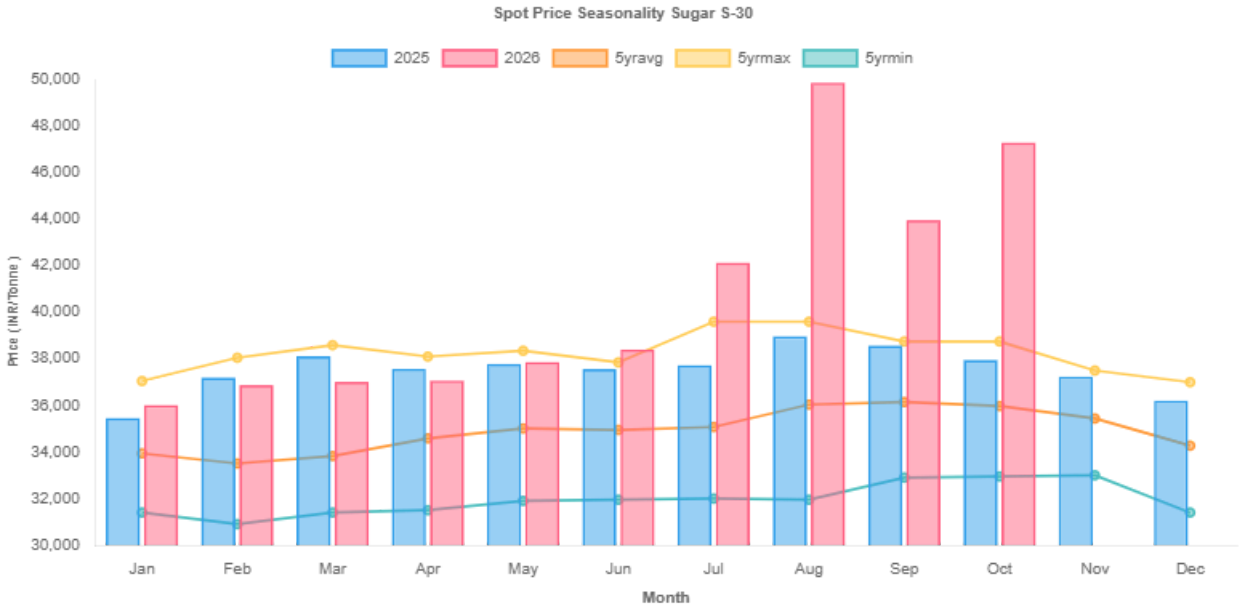
Sugar M-30 prices at Kolhapur market averaged at ₹48,300 per tonne in Oct 2026(till 23rd), up from ₹38,356 last year. However, Sep 2026 prices averaged ₹45,062 per tonne, up from ₹39,030 last year.



Note:Current month prices are average till date, Avg, Min, Max corresponds to previous 5 years; source: agAlabs

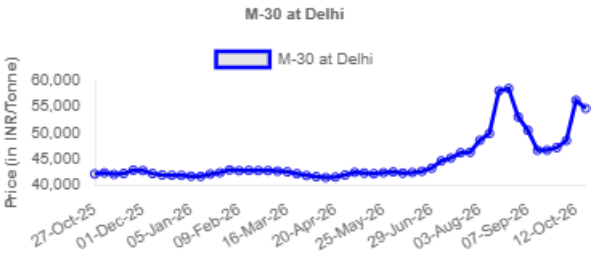
Price Seasonality (Sugar S-30)

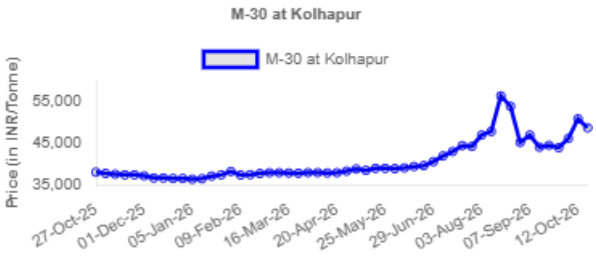
Sugar S-30 prices at Kolhapur market averaged at ₹47,300 per tonne in Oct 2026(till 23rd), up from ₹37,961 last year. However, Sep 2026 prices averaged ₹43,961 per tonne, up from ₹38,576 last year.

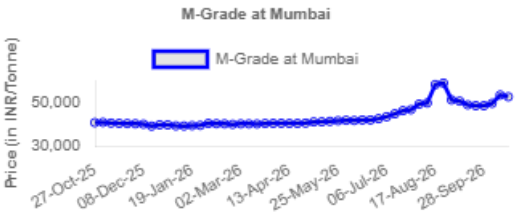


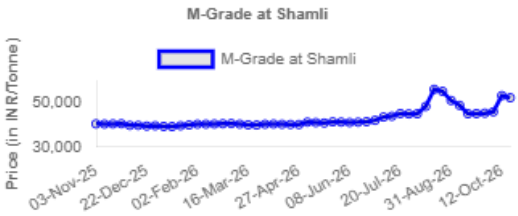
Note:Current month prices are average till date, Avg, Min, Max corresponds to previous 5 years; source: agAlabs

Spot Prices









Source: agAlabs

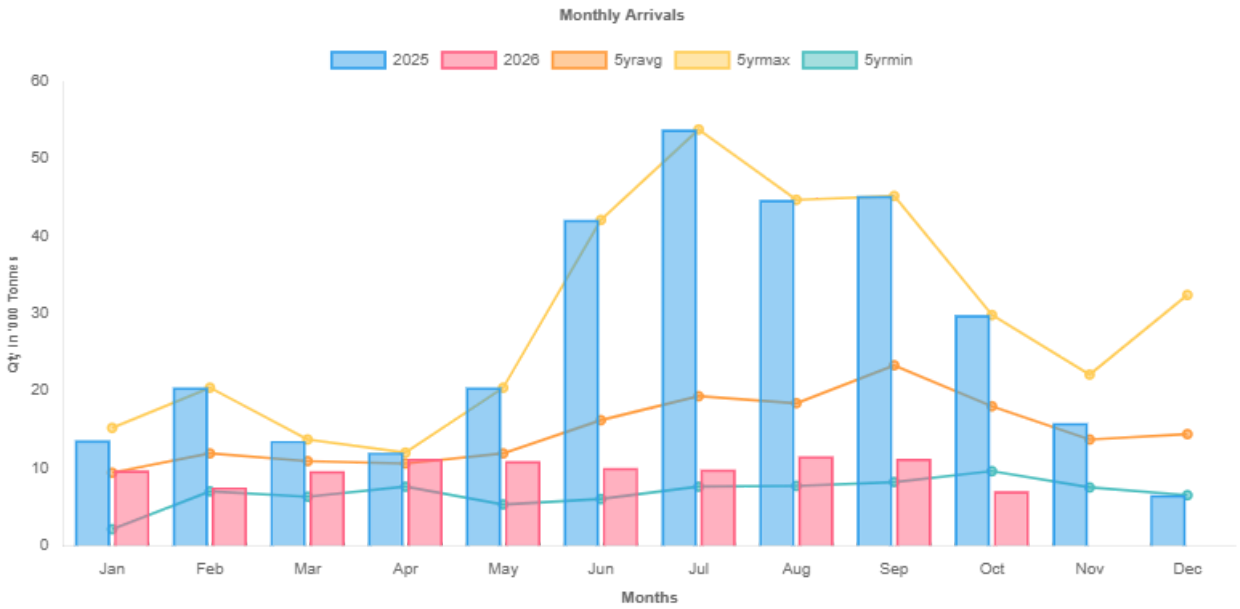
Sugar Prices in Domestic Market (INR/Tonne):

Variety	Market	23-Oct-26	16-Oct-26	Absolute Change
M-30	Delhi	54050	58000	-3950
M-30	Kolhapur	48000	50000	-2000
M-Grade	Bijnor	51200	54700	-3500
M-Grade	Kolkata	55000	57000	-2000
M-Grade	Morna	51100	54600	-3500
M-Grade	Mumbai	51900	54000	-2100
M-Grade	Shamli	51500	55000	-3500
M-Grade	Vijaywada	58000	58000	0
Mill	Deoband	53250	57000	-3750
Mill	Khatauli	53250	57000	-3750
Mill	Nanoata	51100	54600	-3500
S-30	Delhi	53850	57800	-3950
S-30	Kolhapur	47000	49000	-2000
S-Grade	Chennai	54000	55000	-1000
S-Grade	Kolkata	53250	56250	-3000
S-Grade	Mumbai	49900	52500	-2600
S-Grade	Vijaywada	56000	56000	0

Source: agAlabs

Arrivals(Sugar)

Sugar arrivals in current marketing year (Oct-Sep) till 24th-Oct-26 were down by 70.8% , pegged at 7 thousand tonnes as compared to 24 thousand tonnes during the corresponding period a year ago.



Note: Avg, Min, Max corresponds to previous 5 marketing years; source: Agmarknet

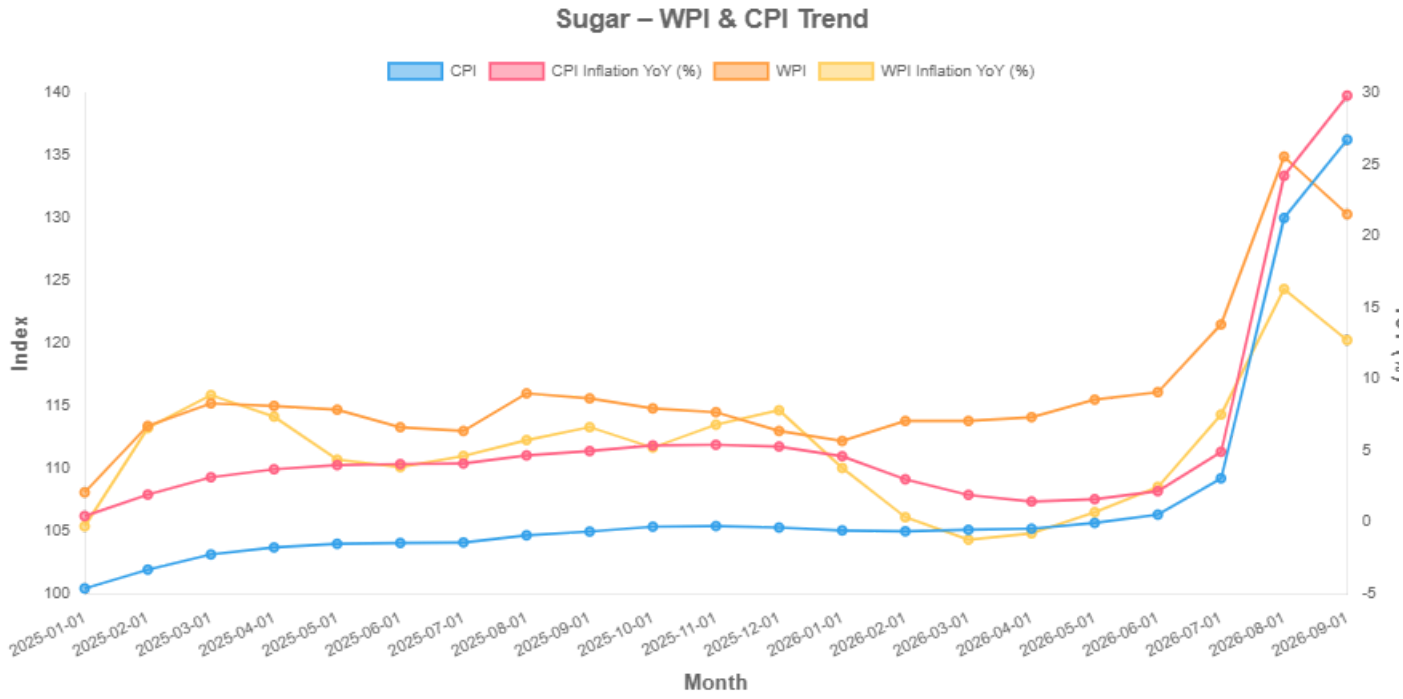
Sugar Cumulative Arrivals (in '000 Tonnes):

States	This Year	Last Year	% Change
Assam	2	0	NA
Rajasthan	1	18	-94.4
Delhi	0	0	NA
Kerala	0	0	NA
India	7	24	-70.8

Source: Agmarknet

Inflation

According to the Ministry of Commerce & Industry, The annual rate of inflation of Sugar, based on monthly WPI, stood at 12.7% for the month of September 2026 as compared to 16.3% for the previous month.



Wholesale Prices

in (INR/Tonne):

Commodity	States	23-Oct-26	15-Oct-26	Absolute Change
Sugar	Andhra Pradesh	50833.3	50192.3	641
Sugar	Bihar	54728.6	54763.9	-35.3
Sugar	Chhattisgarh	52185.6	52510	-324.4
Sugar	Delhi	56000	49350	6650
Sugar	Gujarat	55260.8	55003.6	257.2
Sugar	Haryana	53000	54333.3	-1333.3
Sugar	Himachal Pradesh	59295	56678.3	2616.7
Sugar	Jammu And Kashmir	54500	56875	-2375
Sugar	Jharkhand	54319.4	52653.7	1665.7
Sugar	Karnataka	50567.2	49832.8	734.4
Sugar	Kerala	53761.5	53364.3	397.2
Sugar	Madhya Pradesh	52916.9	51780.6	1136.3
Sugar	Maharashtra	52800	51147.4	1652.6
Sugar	Odisha	54468	53862.5	605.5
Sugar	Punjab	59333.3	58500	833.3
Sugar	Rajasthan	51612.5	50766.7	845.8
Sugar	Tamil Nadu	53572.2	52032.8	1539.4

Commodity	States	23-Oct-26	15-Oct-26	Absolute Change
Sugar	Telangana	49909.1	49363.6	545.5
Sugar	Uttar Pradesh	54952	53860	1092
Sugar	West Bengal	55000	55294.1	-294.1

Source: Department of Consumer Affairs

Retail Prices

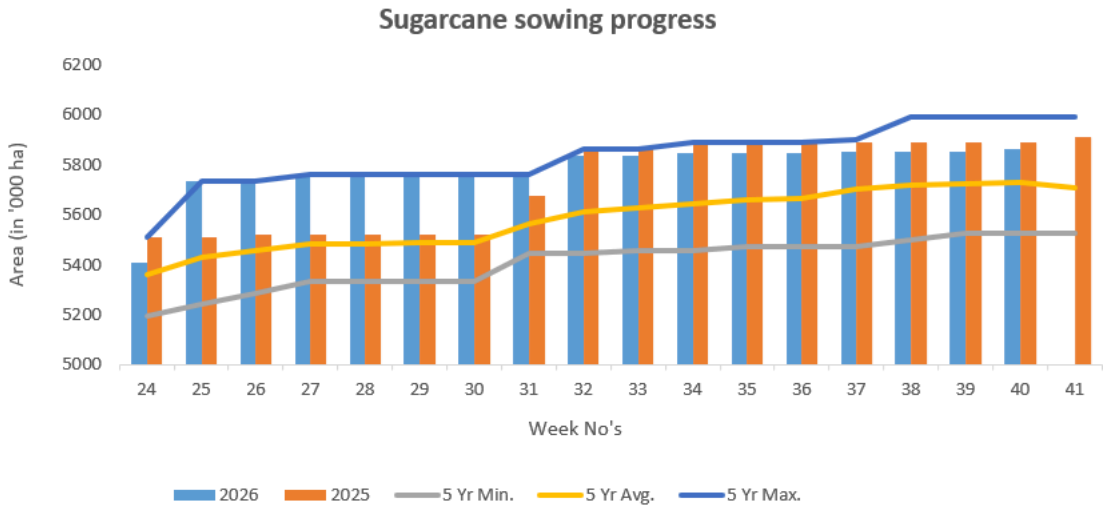
in (INR/Tonne):

Commodity	States	14-Oct-26	07-Oct-26	Absolute Change
Sugar	Andhra Pradesh	54040	53400	640
Sugar	Bihar	57310	55260	2050
Sugar	Chhattisgarh	56000	56220	-220
Sugar	Delhi	65000	53000	12000
Sugar	Gujarat	57500	55330	2170
Sugar	Haryana	55500	50500	5000
Sugar	Himachal Pradesh	60580	58420	2160
Sugar	Jammu And Kashmir	62500	62500	0
Sugar	Jharkhand	56830	55390	1440
Sugar	Karnataka	53470	52940	530
Sugar	Kerala	55210	54070	1140
Sugar	Madhya Pradesh	54650	53760	890
Sugar	Maharashtra	54840	53160	1680
Sugar	Odisha	57600	55070	2530
Sugar	Punjab	61000	53470	7530
Sugar	Rajasthan	55030	54560	470
Sugar	Tamil Nadu	55030	53370	1660
Sugar	Telangana	53000	52820	180
Sugar	Uttar Pradesh	57110	52280	4830
Sugar	West Bengal	59090	55670	3420

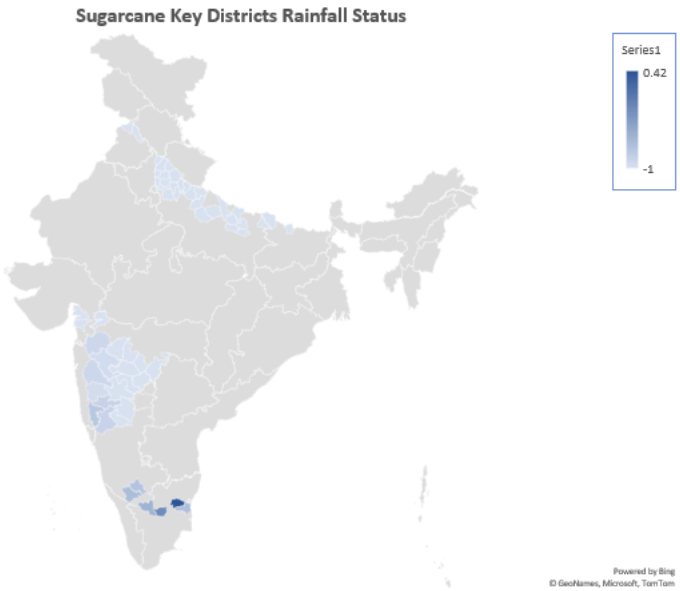
Source: Department of Consumer Affairs

Sowing Progress

According to the Ministry of Agriculture & Farmers Welfare, India's kharif sugarcane sowing reached 5861 Thousand hectares as of Oct 2nd, 2026—down from 5887 thousand hectares during the same period last year.

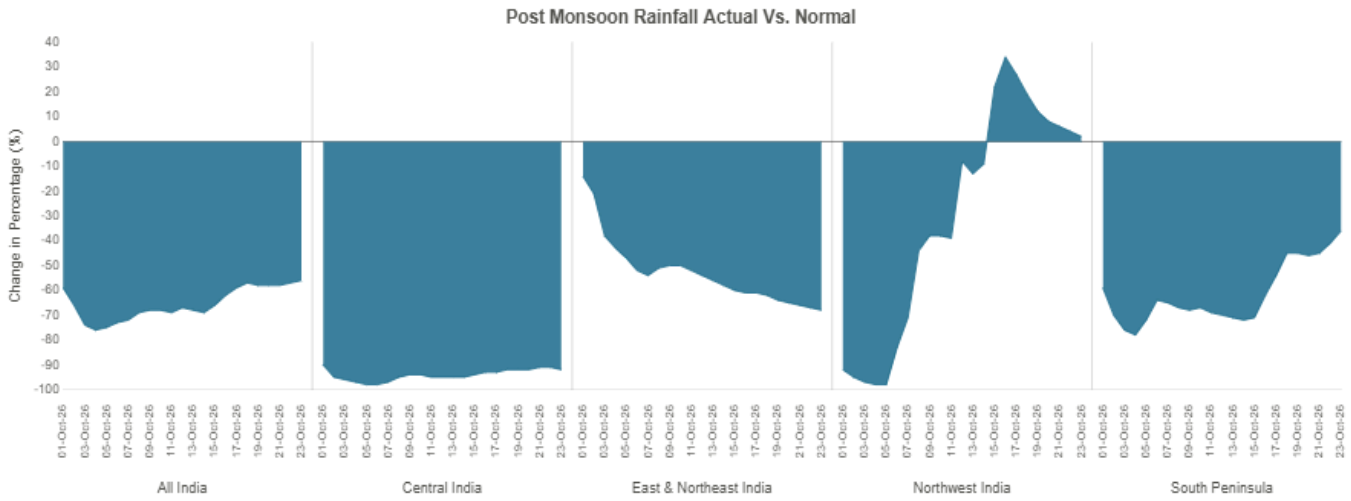


Key District Rainfall Map



Region Rainfall

The India Meteorological Department (IMD) reported that the country received a cumulative seasonal rainfall of 27.9 mm against the normal rainfall of 63.2 mm from Oct 1st to Oct 23rd 2026, which is 56% below the Long Period Average (LPA) indicating below normal rainfall activity.



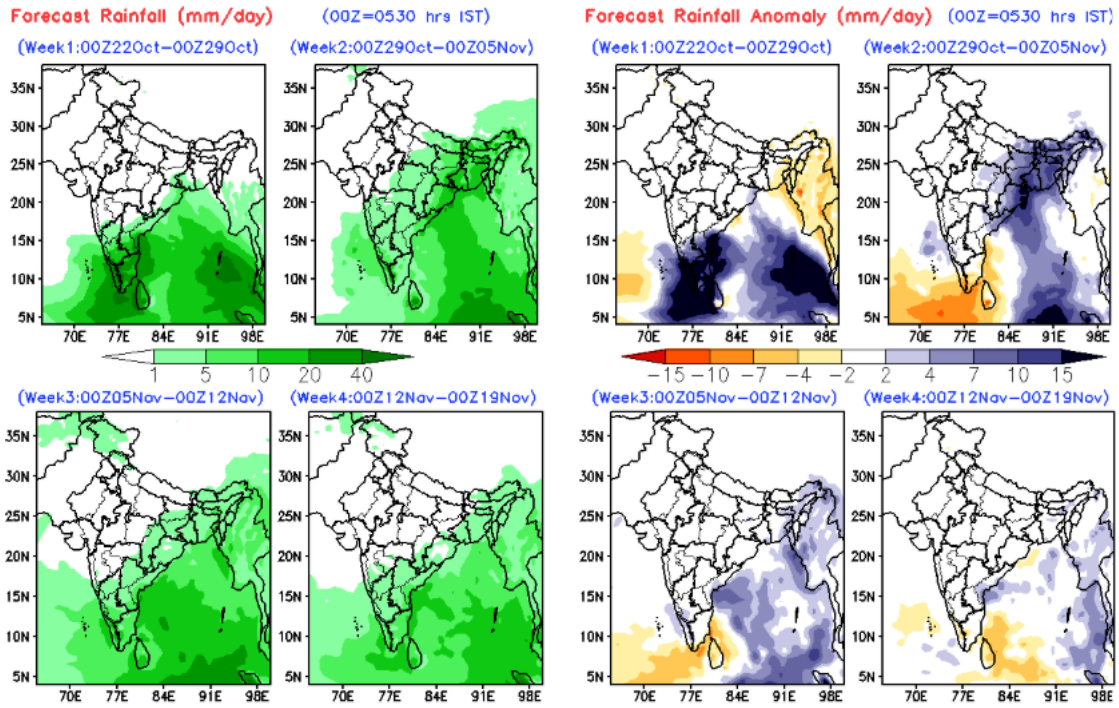
India Weather Updates: Post Monsoon Rainfall (in mm):

Region	Actual	Normal	% Departure From LPA
India	27.9	63.2	-56
Central India	4.2	50	-92
East & Northeast India	35.3	109.2	-68
Northwest India	20	19.6	2
South Peninsula	74.7	116.4	-36

Source:IMD

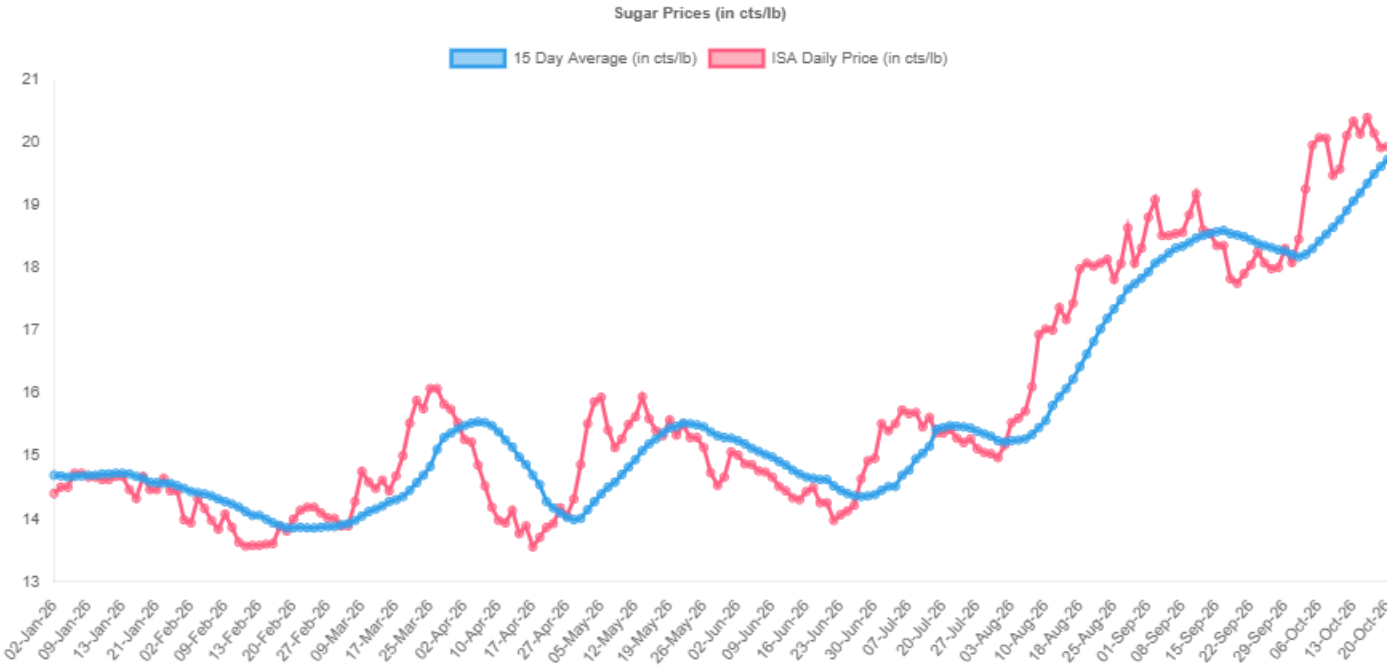
Rainfall Forecast

Precipitation outlook for next four weeks:



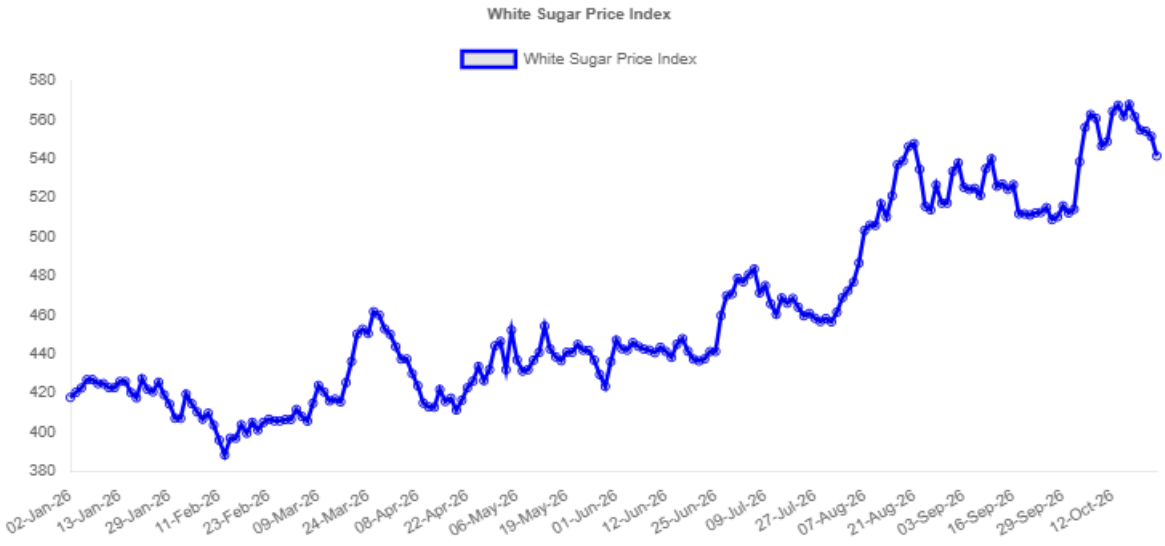
source: IMD

ISO Sugar Prices

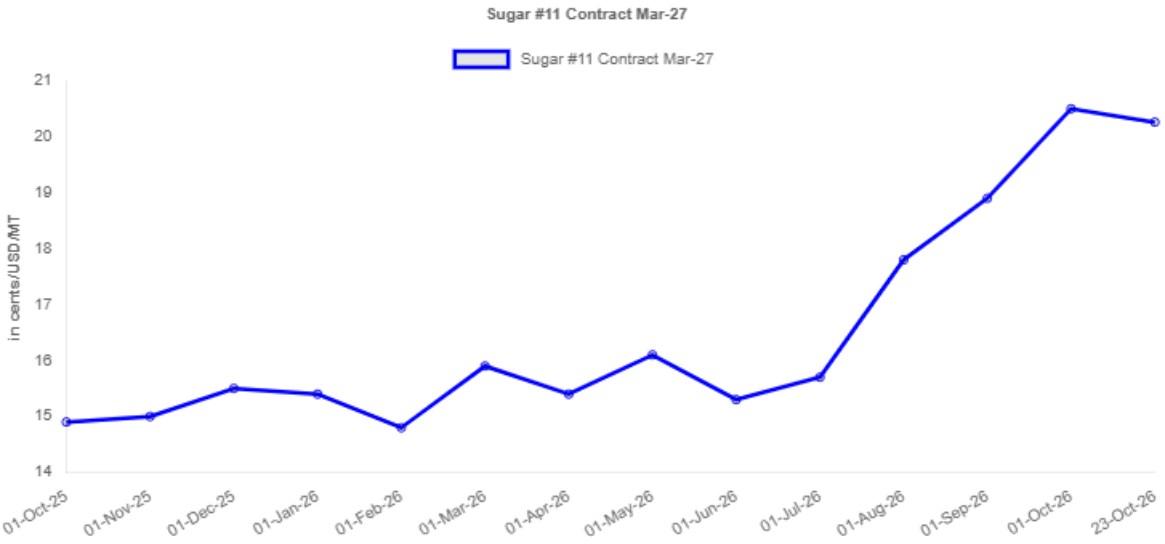


Factors	UOM	22-Oct-26	15-Oct-26	Change
ISA Daily Price *	(in cts/lb)	19.6	20.4	-0.8
15 Day Average	(in cts/lb)	19.9	19.4	0.6
White Sugar Price Index **	$/T	541.5	567.8	-26.3
	(in cts/lb)	24.6	25.8	-1.2

ISO White Sugar Price Index



Sugar #11 ICE



Source: ICE

Sugar #11 ICE (Cents per Pound):

Month	Open	High	Low	Close	USD/Tonne
Mar-27	20.1	20.5	20	20.3	447
May-27	19.5	19.9	19.4	19.7	433
Jul-27	19.1	19.4	19	19.2	424
Oct-27	19	19.3	18.9	19.1	421
Mar-28	19.4	19.6	19.2	19.4	427

Source: ICE

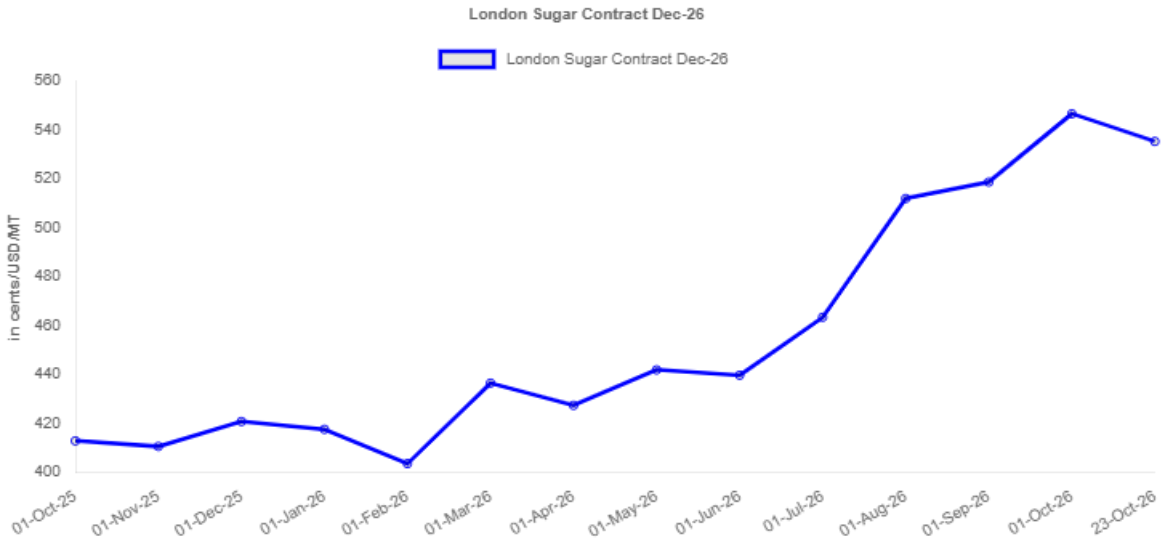
Comparison Sugar #11 ICE

Sugar #11 ICE (Cents per Pound):

Month	23-Oct-26	16-Oct-26	W-O-W	M-O-M
Mar-27	20.3	20.9	-0.6	1.5
May-27	19.7	20.1	-0.4	1.5
Jul-27	19.2	19.5	-0.3	1.3
Oct-27	19.1	19.4	-0.3	1.1
Mar-28	19.4	19.6	-0.2	NA

Source: ICE

London Sugar



Source: London Sugar

London Sugar (USD per tonne):

Month	Open	High	Low	Close	USD/Tonne
Dec-26	534	542.2	531.5	535.2	535
Mar-27	549.1	557.4	546.7	550.5	550
May-27	557.4	565.1	554.9	558	558
Aug-27	555	560.9	551.3	553.7	554
Oct-27	546.6	554.3	544.3	546.8	547

Source: London Sugar

Comparison London Sugar

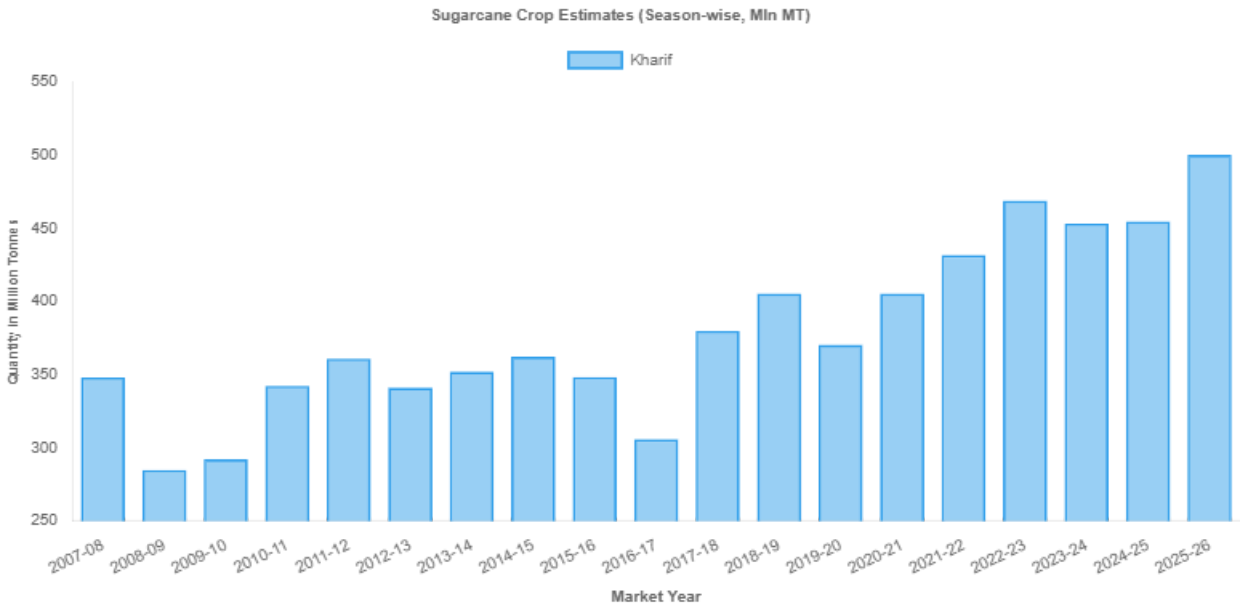
London Sugar (USD per tonne):

Month	23-Oct-26	16-Oct-26	W-O-W	M-O-M
Dec-26	535.2	554.6	-19.4	28.4
Mar-27	550.5	568	-17.5	30.4
May-27	558	574.4	-16.4	33.3
Aug-27	553.7	568.8	-15.1	33.1
Oct-27	546.8	561.7	-14.9	31.1

Source: London Sugar

India Production Estimates

According to data from the Ministry of Agriculture, India's Sugarcane production for the 2025–26 crop year is estimated at 500.1 million tonnes for the Kharif season.



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